Grigg bring up the question of Smith's selection before his colleagues in the Viceroy's Executive Council.

There was talk of temperamental incompatibility between the hard-as-nails Governor and the equally pugnacious Finance Member, as also between Smith and his Deputy, James Taylor. Grigg had an unusually assertive and abrasive personality, a trait which was fully on display in his long tussle with Smith and which attracted notice in the highest quarters. Deshmukh observed that apart from 'his temperamental incompatibility with the other two, the serious difference of opinion which arose between him and the Finance Member over the lowering of the Bank rate, with all its implications and the management of the Bank's investments'[15] were the cause of Smith's resignation. Also, Smith's suggestion of an export duty on gold to discourage its outflow had not found favour with the government. One can only speculate as to the details Deshmukh was privy to but it will not be too extravagant to assume that Deshmukh knew much more than he cared to reveal. However, Deshmukh arrived on the scene only in 1939, more than two years after Smith had resigned, and most of what he knew must have been told to him either by Taylor or Taylor's adherents. Deshmukh, after all, was Taylor's protégé. Strangely, Deshmukh as the Chairman of the editorial committee overseeing the writing of the history of the bank of this period, completely ignored what Chandavarkar calls 'this single most important episode in the Bank's history.'

Grigg also tried to influence the composition of the RBI Central Board. He vetoed the nomination of Padampat Singhania, a prominent Hindu businessman, because of his affiliations with the Congress and FICCI. Grigg was obsessive in his concern with the over-representation of Hindu businessmen on the Board. Grigg undermined even the minimal independence of the RBI at the very outset by not consulting Smith in the selection of his two Deputy Governors, Taylor and Sir Sikander Hyat-Khan. The choice of the latter was an unfortunate one since he had no experience of banking, business, or finance and his only administrative experience was a brief spell as Acting Governor of the Punjab. 'Like Taylor he was completely malleable to Grigg's manipulations and his selection a manifestation of pure political expediency.'[16] Grigg was directly responsible for vetoing the claims of other Indians like Chetty and V.T. Krishnamachari.